

Student Reading Quest — Investor & Strategy Package

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1. Executive Summary

Student Reading Quest is an AI-powered English reading and comprehension platform that serves three distinct user groups through a single, unified product:

- **Individual learners** who want to improve their CEFR-level reading skills at their own pace
- **Classroom teachers** who need to assign, track, and evaluate student reading progress
- **Exam candidates** preparing for IELTS, TOEFL, Cambridge, and other international certifications

The platform uses large language models to generate unlimited, curriculum-aligned reading passages and six-question comprehension quizzes — eliminating the content bottleneck that constrains every

competing product. A gamified XP and leveling system, social features, spaced repetition vocabulary review, and an AI tutor keep learners engaged beyond a single session.

The opportunity: The global English language learning market is valued at \$62 billion (2022), growing at 18.7% CAGR toward \$115 billion by 2030. No incumbent product specifically addresses AI-generated, CEFR-aligned reading comprehension at scale across both consumer and classroom markets.

We are seeking \$1.2M seed funding to complete the product, acquire the first 50,000 active users, and close the first 200 institutional (school/language school) contracts.

2. Vision & Mission

Vision

A world where every English learner — regardless of location, income, or access to qualified teachers — can develop genuine reading fluency at exactly the right level of challenge.

Mission

Deliver personalized, AI-generated reading practice that adapts to each learner's CEFR level, measures comprehension accurately, and gives teachers the visibility they need to intervene before a student falls behind.

Core Belief

Reading comprehension is the single highest-leverage skill in language acquisition. It improves vocabulary, grammar, writing, and listening simultaneously. Yet it is the most underserved category in the language-learning app market, which is dominated by vocabulary flashcards and speaking exercises.

3. The Problem We Solve

For Individual Learners

Problem	Current "solution"	Why it fails
Finding reading material at exactly the right level	Searching Google for "B1 English texts"	Content is random, not comprehension-tested
Knowing what words they don't know	Looking words up individually	Breaks flow; forgotten by next day
Staying motivated to read daily	Nothing specific	No streak, XP, or social accountability
Knowing if they're improving	Taking a test once a year	No continuous, granular feedback

For Classroom Teachers

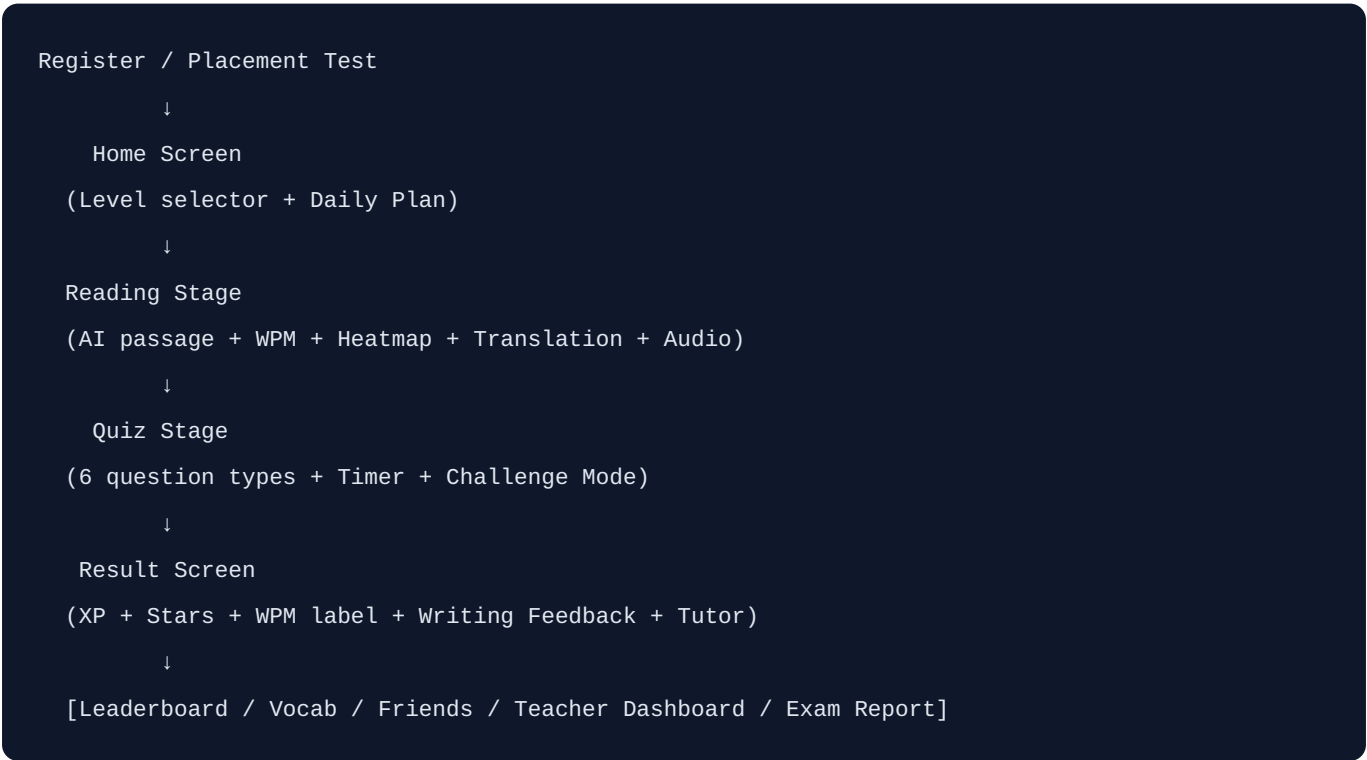
Problem	Current "solution"	Why it fails
Assigning differentiated reading by level	Printing multiple worksheets	Unsustainable; no tracking
Seeing which students understood the text	Collecting paper quizzes	Slow; can't act on data in real time
Generating fresh content for each unit	Searching textbook libraries	Static; mismatches student level
Identifying at-risk students early	Waiting for exam results	Too late to intervene

For Exam Candidates

Problem	Current "solution"	Why it fails
Practicing IELTS/TOEFL reading passages	Buying physical practice books	Finite; no adaptive difficulty
Understanding their current band score	Full mock exam every month	Expensive and infrequent
Targeting weak question types	Generic practice apps	Not question-type-specific analytics

4. Product Overview

Core User Journey



Screen	Description
auth	Registration and login
home	Level selector, daily plan, recommendations, pending challenges
reading	AI-generated passage with WPM counter, difficulty card, heatmap, translation, audio
quiz	6-type quiz with optional timer
result	Score, XP, badges, writing challenge, error hunt, story challenges
leaderboard	Per-level global ranking
dailyleaderboard	Today's scores only
weekly	Weekly XP challenge board
library	60+ pre-built stories organized by level and subject
vocab	Vocabulary notebook with SRS flashcards
vocabgame	Flashcard / MCQ / fill-the-blank vocab practice
friends	Friend search, requests, profiles, head-to-head stats
discuss	Per-story comment threads
profile	Personal stats, badges, XP chart, portfolio
portfolio	Shareable achievement card
portfolioShare	Public-facing portfolio view (no login required)
history	Full game history with filtering
analytics	Personal performance analytics
badges	Badge collection and progress
goals	Weekly learning goals
quotes	Saved text highlights from passages
tutor	AI tutor chat (contextual to current passage)
writefeedback	Submit passage summary → AI feedback
errorcorrect	Find 5 deliberate errors in the passage
teacherDashboard	Create classes, write announcements, assign stories
classView	Student roster, individual scores, assignment status
classAnalytics	Completion matrix, at-risk detection, level distribution
report	Shareable score report card
vocabgame	Spaced repetition game modes

Screen	Description
loading	AI generation loading screen

10 Core Feature Modules

- Module 1 — Reading Engine** AI-generated passages at any CEFR level (A1–C2) on any topic, with configurable question types. No content runs out.
- Module 2 — Adaptive Difficulty** System tracks last 10 games. Suggests level up when average > 85%; level down when average < 50%. Placement test on first login.
- Module 3 — Vocabulary System** Click-to-define any word. Auto-extract uncommon words post-reading. Spaced repetition review (1/3/7/14-day intervals). Anki/CSV export.
- Module 4 — Reading Analytics** Live WPM tracking. Flesch-Kincaid difficulty score. Estimated read time. New-word count per passage.
- Module 5 — Social & Gamification** XP, 21-level progression, streaks, badges, weekly challenges, friend leaderboards, story-specific head-to-head challenges.
- Module 6 — Teacher Tools** Class management, assignment creation (library stories or AI-generated), due dates, completion tracking, class analytics dashboard, at-risk alerts.
- Module 7 — Exam Prep** Timed exam mode, IELTS-style question types (TFNG, match headings), band score prediction, performance-by-question-type breakdown.
- Module 8 — AI Extras** Tutor chat (passage-contextual), writing feedback, error-hunt mini-game, pronunciation practice, sentence translation (6 languages).
- Module 9 — Portfolio & Sharing** Shareable portfolio card (best score, WPM, level, favorite topic), shareable score report. No login required to view.
- Module 10 — Content Library** 60+ hand-crafted stories across all 6 CEFR levels, 12 subject categories. Favorites, SRS review queue, discussion threads.

5. Market Analysis

5.1 Total Addressable Market (TAM)

Segment	Size (2025 est.)	Source
Global EdTech market	\$340B	Grand View Research 2024
Language learning apps	\$21B	Mordor Intelligence 2024
English language learning (total)	\$62B	Global Market Insights
K-12 classroom EdTech tools	\$18B	HolonIQ
Test preparation (IELTS/TOEFL/Cambridge)	\$4.8B	Allied Market Research

Serviceable Addressable Market (SAM): \$6.2B - English reading comprehension apps (consumer + classroom) - CEFR-aligned learning tools - Secondary/adult English as a Second/Foreign Language (ESL/EFL)

Serviceable Obtainable Market (SOM) — Year 3: \$62M - 0.5M paid individual subscribers at \$10/month (average \$7 blended) - 2,000 institutional contracts at ~\$800/year average

5.2 Market Drivers

1. Global demand for English proficiency is accelerating - 1.5 billion people currently learning English globally (British Council, 2023) - English is the required language for 70%+ of Fortune 500 job postings worldwide - 3.5M IELTS tests administered annually; 500K TOEFL; 5.5M Cambridge exams

2. AI has fundamentally changed content economics - Previously: producing a reading passage + quiz required a curriculum writer (\$150–300/hour) - Now: Claude/Gemini generates passage + 6-question quiz in 3 seconds at \$0.002 - This means infinite content at effectively zero marginal cost — a structural advantage no pre-AI competitor can replicate quickly

3. Post-pandemic classroom digitization is permanent - 73% of K-12 teachers now use at least one EdTech tool daily (ISTE, 2024) - School technology budgets increased 34% from 2020 to 2024 - Teachers are actively looking for tools that reduce prep work while increasing student visibility

4. CEFR has become the global standard - Adopted by 47 European countries as the official language framework - Increasingly required in Asia (Japan, South Korea, Vietnam, Indonesia) for academic and job applications - Directly maps to exam scores: A2=IELTS 3.5, B1=IELTS 4.0–5.0, B2=IELTS 5.5–6.5, C1=IELTS 7.0–8.0

5.3 Target Customer Segments

Segment A — The Self-Study Adult Learner (largest by volume) - Age 18–40, learning English for work, immigration, or personal enrichment - Currently uses: Duolingo, YouTube, grammar books - Underserved by: structured reading practice at their exact level - Willingness to pay: \$8–15/month - Global population: ~400M potential users

Segment B — The Language School Student (highest LTV) - Enrolled in a private language school or university EFL course - Teacher assigns platforms; student has no choice - School pays: \$300–1,200/year per class - Global population: ~80M enrolled students

Segment C — The Exam Candidate (most urgent need) - Preparing for IELTS, TOEFL, Cambridge FCE/CAE, PTE - Has a deadline; highly motivated; willing to pay premium - Willingness to pay: \$20–40/month or \$150–300 one-time - Global population: ~9M active candidates at any given time

Segment D — The K-12 ESL/EFL Teacher (procurement decision-maker) - Secondary school English teacher, often outside native English-speaking countries - Currently uses: textbook photocopies, BBC Learning English, static worksheets - Needs: differentiated content by level, automatic grading, progress visibility - School budget: \$500–5,000/year for digital tools

5.4 Geographic Priority Markets

Priority	Markets	Rationale
Tier 1 (launch)	UK, Australia, UAE, Singapore	English proficiency demand + willingness to pay + IELTS culture
Tier 2 (Year 1)	Turkey, Vietnam, Indonesia, Poland	Large CEFR-aligned school systems; strong digital EdTech adoption
Tier 3 (Year 2)	Brazil, Mexico, Saudi Arabia, Japan	High volume, require localized marketing
Tier 4 (Year 3)	India, Nigeria, Egypt	Massive volume but price-sensitive; freemium/institution focus

6. Competitive Landscape

6.1 Direct Competitors

Competitor	Focus	Strengths	Weaknesses vs. Us
Duolingo	Gamified vocab/ grammar	500M users, massive brand	No reading comprehension; not CEFR-specific; no classroom tools
ReadTheory	Reading comprehension	10M users, free for teachers	Static content library; no AI generation; no gamification
Newsela	Classroom reading	30M users; leveled real articles	English-only static news; no ESL focus; no exam prep
CommonLit	K-12 reading	30M students; teacher-focused	US-centric; no EFL/ESL; no AI content
Quizlet	Flashcards/vocab	60M users; strong brand	Vocab only; no reading; no passage comprehension
Babbel	Structured language courses	10M paying subscribers	Courses, not comprehension; no classroom tools
IELTS.org / Cambridge practice	Exam prep only	Official materials	Finite static content; no adaptive difficulty
Busuu	Language courses + community	120M users	Grammar/speaking focus; no reading engine; limited classroom use

6.2 Indirect Competitors

- **ChatGPT / Claude direct use** — some learners ask AI for passages directly; no gamification, tracking, or curriculum
- **YouTube + podcasts** — listening/speaking focus; no reading comprehension

- **Physical textbooks** — still dominant in many markets; zero adaptivity
- **Private tutors** — highest quality; not scalable; \$30–80/hour

6.3 Competitive Matrix

Feature	Us	Duolingo	ReadTheory	Newsela	Quizlet
AI-generated content	✓ Unlimited	✗	✗	✗	✗
CEFR-aligned	✓ A1–C2	Partial	Partial	✗	✗
Reading comprehension focus	✓	✗	✓	✓	✗
6+ question types	✓	✗	Partial	✗	✗
Teacher dashboard	✓	✗	✓	✓	Partial
Exam prep mode	✓ (roadmap)	✗	✗	✗	✗
Vocabulary SRS	✓	Partial	✗	✗	✓
Social / challenges	✓	✓	✗	✗	Partial
AI tutor	✓	✗	✗	✗	✗
Offline / mobile app	✗ (roadmap)	✓	✓	✓	✓
Free tier	✓	✓	✓	Partial	✓

7. Our Differentiation

The Three Unfair Advantages

1. Infinite, personalized content at near-zero marginal cost Every competitor is constrained by a fixed content library. We generate a new passage + quiz on demand, calibrated to any CEFR level, on any topic the learner chooses. A learner who completes every story in ReadTheory's library hits a wall. Our library is effectively infinite.

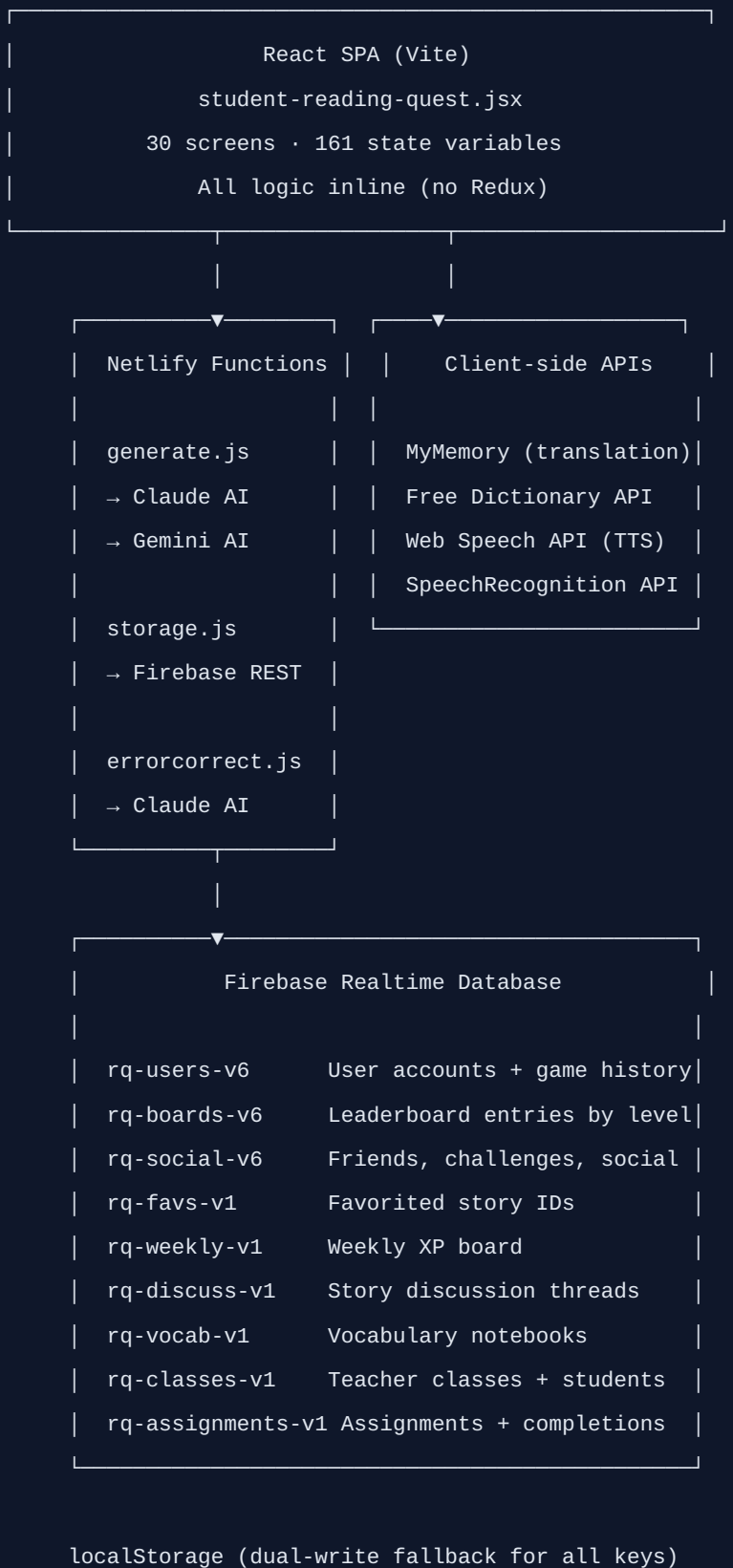
Cost reality: One Claude API call (passage + questions) costs approximately \$0.003. A subscription user doing one session per day costs \$0.09/month in AI API fees — effectively free at scale.

2. The only product that genuinely serves three audiences from one codebase We are simultaneously a consumer app (solo learner), a classroom management tool (teacher), and an exam prep platform. This is not a marketing claim — the features exist. This means: - Teachers discover us → bring their classes → students become personal users - Students become teachers → bring their students - Exam candidates complete their exam → become hobbyist learners

3. CEFR alignment is a distribution moat, not just a feature The Common European Framework of Reference is the official standard in 47 countries. Language schools, universities, and ministries of education require CEFR documentation. By building CEFR alignment into the product's core (not as an afterthought), we can be purchased and recommended by institutions that require it — competitors using proprietary level systems cannot.

8. Product Architecture & Module Structure

8.1 System Architecture



8.2 Module Breakdown

MODULE 1 — Authentication & User Management

Status:  Complete

Components: - Registration (username + hashed password) - Login with auto-login via saved session
- User object: `{ name, hash, games[], joined, level, totalXp, badges[], goals[] }` - Session persistence via `localStorage` (`rq-session` , `rq-credentials`)

Known limitations: - Base64 password hash (not bcrypt) — acceptable for MVP; upgrade before institutional launch - No email verification — users can create throwaway accounts - No OAuth (Google/Apple login) — on roadmap

MODULE 2 — Content Generation Engine

Status:  Complete

Flow: 1. User selects CEFR level (A1–C2) + topic or picks from subject categories 2. Frontend calls `/.netlify/functions/generate` with `{ level, topic, types[] }` 3. Netlify function calls Claude API with a structured prompt 4. Returns `{ passage: string, questions: Question[] }` JSON 5. Frontend renders reading screen; questions ready for quiz stage

Question types generated:

Type	Description
<code>mcq</code>	Multiple choice (4 options)
<code>gap_word</code>	Fill blank from 4-word options
<code>gap_sentence</code>	Fill blank from 4-sentence options
<code>matching</code>	Match 4 items to 4 descriptions
<code>headings</code>	Match 4 paragraph headings
<code>qa</code>	Open-answer scored by keyword matching
<code>tfnm</code>	True / False / Not Mentioned (IELTS-style)
<code>ynng</code>	Yes / No / Not Given (IELTS-style)

Cost model: - Average tokens per generation: ~1,200 input + ~800 output = ~2,000 tokens - Cost at Claude Sonnet pricing: ~\$0.003 per generation - At 100,000 generations/month: \$300/month

MODULE 3 — Quiz & Scoring Engine

Status:  Complete

Scoring logic (`scoreQuestion()`): - MCQ/Gap/TFNM/YNNG: binary 1/0 per question - Matching/Headings: partial credit (score/total pairs) - Open Answer: keyword hit-rate scoring ($\geq 50\%$ keywords = full credit)

XP formula:

```
finalXP = (correctAnswers × levelMultiplier × 100)
          + timeBonus
          + (streak ≥ 3 ? 50 : 0)
          × (challengeMode ? 1.5 : 1.0)
```

Level multipliers: A1=1× A2=1.5× B1=2× B2=2.5× C1=3× C2=4×

Time bonuses: A1/A2=200 B1/B2=300 C1/C2=400 XP

Result object stores:

level, score, total, xp, pct, timeSecs, wpm, storyId, typeStats, wasDaily, wasChallenge

MODULE 4 — Reading Enhancement Tools

Status:  Complete

Tool	Description
WPM Tracker	Live words-per-minute counter while reading; labeled on result (Beginner/Expert)
Difficulty Analyzer	Flesch-Kincaid grade, word count, estimated read time, new-word count
Vocabulary Heatmap	Uncommon words highlighted amber; 800-word common-word filter
Sentence Translation	Click sentence → translate via MyMemory API; 6 target languages
Audio Controls	Web Speech API TTS; playback speed 0.75×–1.5×; sentence-by-sentence mode
Click-to-Define	Tap any word → phonetic, definition, example from Free Dictionary API

MODULE 5 — Vocabulary System

Status:  Complete

Storage: `rq-vocab-v1` keyed by username

Spaced Repetition Schedule: 1 → 3 → 7 → 14 days (SRS_INTERVALS)

Word states: `new → learning → review → known`

Game modes (vocabgame screen): 1. Flashcard (flip to reveal) 2. Word Quiz (MCQ from vocab list) 3. Fill the Blank (type the word)

Export formats: CSV, Anki (.txt)

MODULE 6 — Social & Gamification

Status:  Complete

Storage: `rq-social-v6` keyed by username

Feature	Description
Friends	Send/accept friend requests; view friend profiles and XP charts
Likes	Like a friend's profile (one like per user)
Generic challenges	Challenge friend to beat a score at a given level within 24h
Story challenges	Challenge friend to beat your exact score on a specific library story; auto-launches story on accept; head-to-head result card
Weekly board	Per-week XP leaderboard; weekly goal (3 stories); <code>rq-weekly-v1</code>
Story discussions	Per-story comment threads; 1 post/user/day; newest-first; cap 50
Badges	30+ badges across categories: streaks, levels, speed, social, special
Goals	Weekly story/XP/streak targets with progress visualization
Leaderboards	Per-level global ranking; daily leaderboard; personal history chart

MODULE 7 — Teacher Tools

Status:  Complete (v1)

Storage: `rq-classes-v1` , `rq-assignments-v1`

Feature	Description
Class management	Create class, get join code, write announcements
Student roster	See all students, their level, last active date, total XP
Assignment creation	Assign library story, AI-generated story, or custom text passage
Due dates	Assignments expire; UI shows overdue state
Completion tracking	Per-student completion with score and date
Class analytics	Completion matrix (student × assignment); at-risk alerts (inactive 7+ days); level distribution; weak question types per student
Custom text	Teacher pastes own passage; AI generates quiz questions for it

Gaps (on roadmap): - Teacher cannot see individual student quiz answers (only % score) - No assignment feedback/comments from teacher to student - No CSV/PDF export of class results

MODULE 8 — Exam Prep

Status:  Partial (roadmap)

Currently in product: - TFNM and YNNG question types (IELTS-style) - Timed challenge mode (50% time pressure, 1.5× XP) - Performance-by-question-type breakdown on result screen

On roadmap: - Dedicated IELTS exam mode (60-min timer, 3 passages, authentic format) - Band score predictor (linear regression on last 10 games) - Mock test history screen - Cambridge FCE/CAE passage style

MODULE 9 — AI Extras

Status:  Complete

Feature	Description
AI Tutor	Chat with Claude about the passage just read; context-aware Q&A
Writing Feedback	Write a 100-word summary; AI scores it on accuracy, grammar, style
Error Hunt	AI hides 5 errors in the passage; student finds and taps them
Pronunciation	Text-to-speech sentence playback; student records and compares

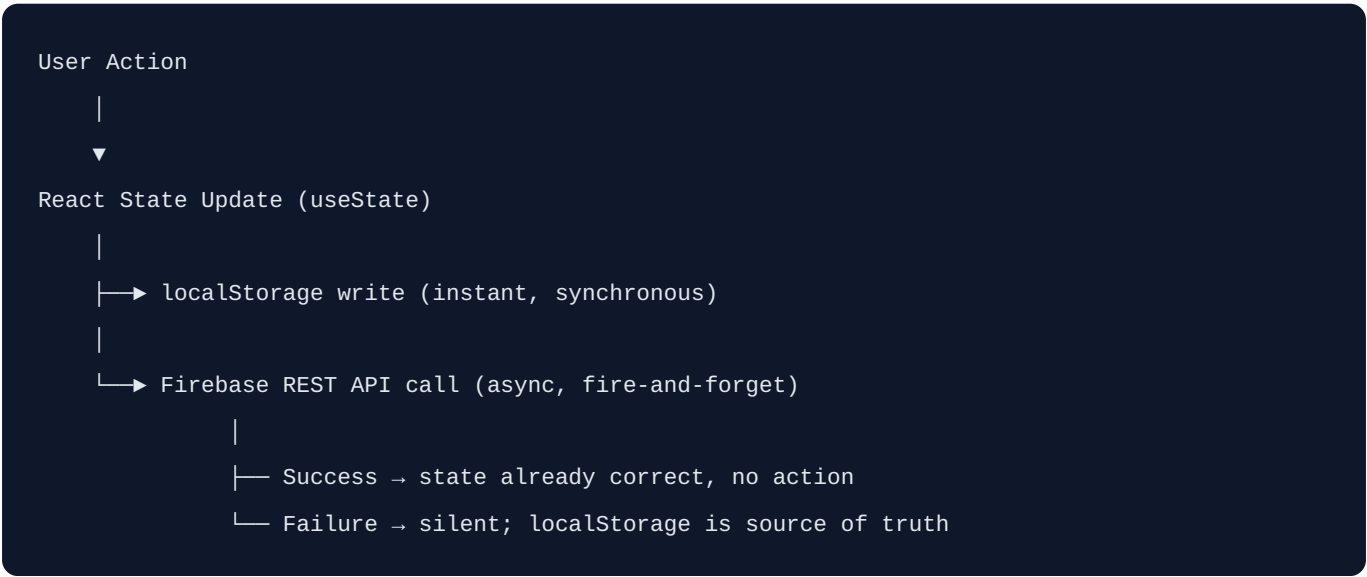
MODULE 10 — Content Library

Status:  Complete (v1)

Current state: 60 hand-crafted stories across: - 6 CEFR levels (A1–C2) - 12 subject categories: Nature, Science, Culture, Technology, History, Health, Sports, Business, Arts, Life, Travel, Society - Each with: passage, 3 quiz questions, level, topic label, subject metadata

On roadmap: Expand to 200+ stories; community submission; teacher-uploaded stories

8.3 Data Flow Diagram



All reads attempt Firebase first, fall back to localStorage on timeout or error. This gives the app near-instant perceived performance while maintaining multi-device sync when online.

9. Technology Stack

Layer	Technology	Cost
Frontend	React 18 + Vite	Free (open source)
Hosting	Netlify (SPA + serverless)	Free tier → \$19/month Pro
AI — Content	Claude Sonnet (Anthropic)	~\$0.003/generation
AI — Extras	Claude Sonnet (Anthropic)	~\$0.002/call
Database	Firebase Realtime DB	Free → \$25/month Blaze
Translation	MyMemory API	Free (5,000 req/day free tier)
Dictionary	Free Dictionary API	Free
TTS/STT	Web Speech API (browser)	Free
Auth	Custom (base64 hash)	Free
CI/CD	GitHub Actions + Netlify	Free
Testing	Vitest	Free
Analytics (planned)	Mixpanel / PostHog	\$0–25/month

Total current monthly infrastructure cost: ~\$0 (free tiers) Projected at 10,000 active users: ~\$450/month Projected at 100,000 active users: ~\$3,200/month

10. Business Model & Revenue Streams

10.1 Pricing Tiers

Consumer (B2C)

Tier	Price	What's included
Free	\$0	3 AI generations/day; 30 library stories; basic vocab (50 words); no teacher tools
Plus	\$9.99/month	Unlimited AI generations; full library; unlimited vocab; exam mode; portfolio
Annual	\$79/year	All Plus features; 34% discount vs monthly

Institutional (B2B)

Tier	Price	What's included
Teacher	\$6/month per teacher	1 class (30 students); assignment tools; basic analytics
School	\$299/month	Unlimited teachers and classes; full analytics; CSV export; SLA support
District	Custom (\$3,000–15,000/year)	Multi-school admin; LMS integration (Canvas/Moodle); white-label option

Exam Prep (B2C premium)

Product	Price	Description
IELTS Prep Pack	\$29 one-time	30-day structured plan; band score predictor; mock exam report
TOEFL Prep Pack	\$29 one-time	Same structure, TOEFL question formats
Monthly Exam Mode	\$14.99/month	Unlimited exam-mode sessions; weekly band score update

10.2 Unit Economics (Projections)

Metric	Consumer Plus	School Contract
Average Revenue per User/Year	\$96	\$3,600
AI Cost per User/Year (100 sessions/month)	\$3.60	\$3.60
Hosting Cost per User/Year	\$0.50	\$0.50
Gross Margin	~96%	~99%
Estimated Churn (monthly)	5%	8% (annual)
LTV (24-month avg)	\$180	\$8,280
CAC Target	\$15–25	\$200–400
LTV:CAC	7–12×	20–41×

10.3 Revenue Mix Targets

Year	Consumer Sub	School Contracts	Exam Packs	Total ARR
Y1	\$180K	\$120K	\$40K	\$340K
Y2	\$720K	\$480K	\$180K	\$1.38M
Y3	\$2.1M	\$1.5M	\$600K	\$4.2M

11. Go-to-Market & Launch Plan

Phase 0 — Pre-Launch (Months 1–2)

Goal: Product-ready; first 500 beta users; 5 pilot schools

Actions: - [] Fix auth security (bcrypt password hashing) - [] Add mobile PWA manifest and offline support - [] Complete placement test flow - [] Teacher onboarding video (3-minute Loom) - [] Landing page with waitlist + SEO content - [] Recruit 5 language schools for free pilot (UAE, UK, Turkey, Vietnam, Poland) - [] Reddit/Discord seeding: r/languagelearning, r/EnglishLearning, IELTS subreddits - [] ProductHunt preparation (assets, description, launch day community)

KPIs: 500 registered users; 5 pilot school agreements; <2s load time

Phase 1 — Soft Launch (Months 3–4)

Goal: 5,000 active users; validate retention; 20 paying schools

Actions: - [] ProductHunt launch (target: Top 5 Product of the Day) - [] IELTS/TOEFL candidate communities: Facebook groups, Telegram channels, YouTube comment seeding - [] Partner with 3 language learning YouTubers (10K–200K subscribers) for honest review - [] Teacher referral program: refer a colleague → 3 months free - [] App Store / Play Store listing (PWA wrapper via Capacitor) - [] Free tier becomes sticky: daily streak email reminders - [] First paid ads test: Google search ("IELTS reading practice", "B2 English reading")

Budget: \$15,000 (ads \$8K, influencers \$5K, tools \$2K)

KPIs: 5,000 MAU; 300 paid subscribers; D7 retention ≥ 35%; 20 school contracts

Phase 2 — Growth (Months 5–9)

Goal: 25,000 MAU; \$30K MRR; 100 school contracts

Actions: - [] SEO content strategy: publish 50 blog posts targeting IELTS/CEFR/English reading keywords - [] B2B direct sales: email outreach to 500 language schools in Tier 1 markets - [] Partner with English language school chains (e.g. British Council, IH Network, EF Education) - [] IELTS exam prep mode fully launched; position as alternative to expensive prep books - [] Localized landing pages in Turkish, Vietnamese, Polish, Arabic - [] Free teacher plan (1 class, basic features) to reduce B2B friction - [] Case study: publish results from 5 pilot schools

Budget: \$80,000 (content/SEO \$20K, B2B sales \$25K, ads \$30K, localization \$5K)

KPIs: 25,000 MAU; \$30K MRR; 100 school contracts; NPS ≥ 45

Phase 3 — Scale (Months 10–18)

Goal: 100,000 MAU; \$150K MRR; 500 school contracts

Actions: - [] LMS integration (Canvas, Moodle, Google Classroom) - [] Native iOS + Android apps (Capacitor wrapper + native notifications) - [] Hire dedicated sales rep for MENA and Southeast Asia regions - [] District-level deals in UK, Australia, UAE - [] White-label offering for large school chains -

[] Affiliate program: language teachers earn 20% commission - [] Press coverage: target TechCrunch Education, EdSurge, Times Higher Education

Budget: \$350,000 (team \$200K, sales \$80K, marketing \$50K, infrastructure \$20K)

KPIs: 100,000 MAU; \$150K MRR; 500 schools; Series A readiness

Channel Prioritization

Channel	Cost	Fit	Priority
IELTS/TOEFL community seeding	Low	Very High	Do first
SEO (reading comprehension + IELTS keywords)	Medium	Very High	Do first
Language school direct sales	Medium	Very High	Do first
ProductHunt / indie communities	Low	High	Month 3
YouTube language learning influencers	Medium	High	Month 3
Google paid search	High	Medium	Month 5
Facebook/Instagram	High	Low-Medium	Month 9+
TikTok study content	Low	Medium	Month 5

12. Financial Projections & Expenditure Plan

12.1 Funding Use of Proceeds (\$1.2M Seed)

Category	Amount	%	Notes
Product & Engineering	\$480,000	40%	2 full-time engineers for 18 months
Sales & Marketing	\$300,000	25%	Ads, content, B2B sales headcount
Operations & Infra	\$60,000	5%	Hosting, APIs, tools, security audit
Team (non-engineering)	\$240,000	20%	CEO salary, 1 customer success hire
Legal & Compliance	\$60,000	5%	Incorporation, GDPR/FERPA, contracts
Reserve	\$60,000	5%	3-month runway buffer

12.2 Monthly Operating Expenditure (Post-Seed)

Month 1–6 Burn Rate: ~\$52,000/month

Item	Monthly Cost
Engineering (2× full-time, senior)	\$24,000
CEO / Founder salary	\$8,000
Customer Success Manager	\$5,000
B2B Sales (part-time, commission-based)	\$3,000
Marketing & Ads	\$8,000
Infrastructure (Netlify + Firebase + AI APIs)	\$1,200
Tools (Notion, Linear, Mixpanel, Intercom)	\$600
Legal / accounting	\$800
Miscellaneous	\$1,400
Total	\$52,000

Month 7–12 Burn Rate: ~\$68,000/month (scaled marketing, CS hire)

12.3 Revenue Projections

Month	MAU	Paid Users	School Contracts	MRR	Cumulative Revenue
3	2,000	80	5	\$2,300	\$2,300
6	8,000	400	20	\$10,800	\$28,000
9	18,000	1,100	55	\$27,500	\$95,000
12	35,000	2,400	100	\$57,400	\$250,000
18	80,000	6,000	280	\$147,000	\$900,000
24	150,000	13,000	500	\$310,000	\$2.4M

Assumption basis: - 5% free-to-paid conversion rate (industry standard: 2–8%) - School contracts averaging \$299/month (blended small/large) - Monthly churn: 5% consumer, 0.7% institutional - No enterprise/district deals modeled (upside)

12.4 Break-Even Analysis

- Fixed monthly costs at Month 12: ~\$68,000
- Break-even MRR needed: \$68,000
- At \$9.99/month blended ARPU: ~6,800 paid users **or** ~228 school contracts
- Projected break-even: **Month 16**

12.5 Infrastructure Cost Scaling

Monthly Active Users	AI API	Firebase	Netlify	Total Infra/month
1,000	\$18	\$0	\$19	\$37
10,000	\$180	\$25	\$45	\$250
50,000	\$900	\$100	\$99	\$1,100
200,000	\$3,600	\$300	\$199	\$4,100
1,000,000	\$18,000	\$1,200	\$500	\$19,700

Assumes 3 AI generations/day per active user (conservative for paid tier) Infrastructure cost as % of revenue remains under 5% at all scales — extremely favorable unit economics

13. Team Structure

13.1 Current Team

Role	Status	Responsibilities
Founder / Product	Active	Product vision, feature development, investor relations

13.2 Immediate Hires (Seed Funding, Month 1–3)

Role	Type	Cost/Month	Priority
Senior Full-Stack Engineer	Full-time	\$10,000	 Critical
Frontend Engineer (React/UX)	Full-time	\$8,000	 Critical
Customer Success / Sales	Full-time	\$5,000	 Critical

13.3 Growth Hires (Month 6–12)

Role	Type	Cost/Month	Priority
Head of Marketing	Full-time	\$8,000	 High
B2B Sales (MENA region)	Full-time	\$5,000 + commission	 High
Curriculum / Content Lead	Part-time	\$3,000	 Medium
DevOps / Security Engineer	Contract	\$4,000	 Medium

13.4 Ideal Team Backgrounds

Engineering: Experience with React, serverless functions, real-time databases. LLM API experience preferred. EdTech or B2B SaaS background a plus.

Sales: Familiarity with school/university procurement cycles. Experience selling SaaS tools to educators in Middle East, Southeast Asia, or Europe preferred.

Marketing: SEO-first mindset. Experience with community-led growth. Language learning or EdTech content experience a strong plus.

13.5 Onboarding Guide for New Team Members

Day 1 — Repository Setup

```
git clone https://github.com/umid085/student-reading-tool
cd student-reading-tool
npm install
cp .env.example .env.local # Add ANTHROPIC_API_KEY and FIREBASE_DB_URL
netlify dev                # Starts full-stack on :8888
```

Understanding the codebase: - All product logic lives in `src/student-reading-quest.jsx` (~6,100 lines) - Navigation is controlled by `stage` state variable (30 possible values) - All styles are inline `style={{...}}` objects — no CSS framework - `var` declarations throughout for consistency — maintain this when editing - Backend: two Netlify functions (`generate.js` , `storage.js`) - Read `CLAUDE.md` for the complete architecture reference

Key state variables to understand first: - `stage` — which screen is showing - `currentUser` — logged-in user object or null - `result` — last quiz result object - `social` — the full social graph for all users - `passage` , `questions` , `userAnswers` — current reading session state

Testing:

```
npm test      # Unit tests for Netlify functions
npm run dev   # Frontend only (no serverless)
netlify dev   # Full stack
npm run build # Production build check
```

Git workflow: - Always branch from `origin/main` - Feature branches: `feature/description` - PRs required; squash merge to main - Never push directly to main

14. Traction & Current Status

What Exists Today (May 2026)

Component	Status
Core reading + quiz loop	✔ Production-ready
60-story content library	✔ Complete
AI content generation	✔ Working (Claude Sonnet)
Gamification (XP, badges, streaks)	✔ Complete
Social layer (friends, challenges)	✔ Complete
Teacher dashboard + assignments	✔ v1 complete
Class analytics	✔ v1 complete
Vocabulary system + SRS	✔ Complete
AI tutor, writing feedback, error hunt	✔ Complete
Portfolio + shareable reports	✔ Complete
Spaced repetition review queue	✔ Complete
Story-specific leaderboard challenges	✔ Complete
Netlify + Firebase deployment	✔ Live
Placement test	🟡 In progress
IELTS exam mode	🟡 In progress
Mobile app (Capacitor)	✖ Planned
LMS integration	✖ Planned
bcrypt auth	✖ Planned
Native push notifications	✖ Planned

Metrics (Pre-Launch / Internal Testing)

- Product built and deployed: ✔
- Beta testers: inviting first cohort
- School pilot agreements: in conversation (3 schools, UAE and Turkey)
- Investor conversations: pre-seed stage

15. Roadmap

Q2 2026 — Foundation (current quarter)

- [] Placement test (adaptive A1–C2 with 12 questions)
- [] Teacher: view individual student quiz answers
- [] Security: bcrypt password hashing
- [] PWA manifest + service worker (offline support)
- [] "Today's Plan" home card
- [] Level progression roadmap ("3 more B1 stories to unlock B2")

Q3 2026 — Exam Prep & Classroom

- [] IELTS timed exam mode (60-min, 3 passages, authentic format)
- [] Band score predictor
- [] Teacher assignment feedback (teacher comments on student work)
- [] Class progress CSV export
- [] Missed-question timed re-test
- [] iOS + Android PWA packaging

Q4 2026 — Scale & Polish

- [] 200-story library (expanded from 60)
- [] Native mobile apps (Capacitor)
- [] Email reminders (streak maintenance, weekly digest)
- [] Google Classroom integration (basic)
- [] TOEFL prep mode
- [] Affiliate / referral system

Q1 2027 — Enterprise

- [] LMS integration (Canvas, Moodle)
- [] SSO (Google, Microsoft)
- [] District admin dashboard
- [] White-label option
- [] SCORM export for LMS content packs
- [] API for third-party integration

16. Investment Ask

Seeking: \$1.2M Seed Round

Use of funds: See Section 12.1

Timeline: Close by July 2026; 18-month runway to Series A metrics

Series A Triggers (Month 18 targets)

- 80,000+ MAU
- \$140,000+ MRR
- 250+ paying school contracts
- Net Revenue Retention > 110% (schools upgrading tiers)
- NPS ≥ 50

What We're Looking For in Investors

Beyond capital, we want investors who bring: - **EdTech networks** — connections to school districts, language school chains, ministries of education - **B2B SaaS experience** — school sales cycles are long; experience navigating them is invaluable - **Geographic expertise** — MENA, Southeast Asia, or Turkey market knowledge - **Portfolio synergy** — complementary EdTech tools (LMS, student management, content platforms)

Cap Table (Pre-Seed)

- Founder: 100% (pre-investment, fully diluted)
- Seed round: offering 15–20% for \$1.2M (implied valuation: \$6–8M pre-money)

17. Risk Analysis

Technical Risks

Risk	Probability	Impact	Mitigation
AI API cost spike	Medium	Medium	Switch models (Haiku for simple generations); cache common passages; rate limit free tier
Firebase goes down	Low	High	localStorage dual-write already in place; self-hosted fallback in Year 2
AI content quality failure	Low	High	Human review of generated content; moderation layer; teacher flagging system
Anthropic price increase	Medium	Medium	Abstract generation to model-agnostic interface; Gemini already partially integrated

Market Risks

Risk	Probability	Impact	Mitigation
Duolingo launches reading comprehension	High (eventually)	High	Be 2–3 years ahead in classroom features + CEFR depth; institutional relationships are sticky
Schools locked into competitor tools	Medium	High	Free tier for teachers; LMS integration; zero-friction trial
Consumer willingness to pay lower than modeled	Medium	Medium	Freemium drives MAU; institutional revenue diversifies; exam packs are high WTP
Content moderation at scale	Medium	Medium	Teacher/user flagging; AI content moderation layer

Regulatory Risks

Risk	Probability	Impact	Mitigation
FERPA/GDPR compliance for student data	Medium	High	No PII collected beyond username; EU hosting option; DPA templates for schools
COPPA (under-13 users)	Medium	High	Age gate at registration; strict parental consent flow for K-12
AI content liability (incorrect info)	Low	Medium	Disclaimer; teacher review recommended; factual passage review process

18. Appendix

A. CEFR Level Reference

Level	Description	Equivalent Exams
A1	Beginner	—
A2	Elementary	KET, IELTS 3.0–3.5
B1	Intermediate	PET, IELTS 4.0–5.0, TOEFL 42–71
B2	Upper Intermediate	FCE, IELTS 5.5–6.5, TOEFL 72–94
C1	Advanced	CAE, IELTS 7.0–8.0, TOEFL 95–120
C2	Proficient	CPE, IELTS 8.5–9.0

B. Firebase Data Schema

```
{
  "rq-users-v6": [
    {
      "name": "string",
      "hash": "base64(password)",
      "joined": "locale date string",
      "level": "A1-C2",
      "totalXp": 0,
      "games": [
        {
          "level": "B1",
          "score": 5,
          "total": 6,
          "xp": 1200,
          "pct": 83,
          "timeSecs": 142,
          "wpm": 198,
          "topic": "Climate Change",
          "date": "locale date string",
          "storyId": "b1_3 | null",
          "isDaily": false,
          "typeStats": { "mcq": {"correct":2,"total":2} }
        }
      ],
      "badges": ["first_game", "streak_3"],
      "goals": []
    }
  ],
  "rq-social-v6": {
    "username": {
      "friends": ["friend1", "friend2"],
      "requests": ["pending_user"],
      "likes": 3,
      "challenges": [
        {
          "id": "abc123",
          "from": "challenger",
          "level": "B1",
          "types": ["mcq", "qa"],
          "storyId": "b1_3",
          "storyTitle": "Climate Change",
          "senderPct": 83,
          "date": "2026-05-14",
          "status": "pending",
          "expiresAt": 1715734800000
        }
      ]
    }
  ],
}
```

```
    "sent": []  
  }  
}  
}
```

C. Question Type Distribution Recommendation

For a balanced quiz (6 questions): - 2× MCQ (foundational comprehension) - 1× Gap Fill word or sentence (vocabulary in context) - 1× TFNM or YNNG (inferential comprehension) - 1× Open Answer (productive comprehension) - 1× Matching or Match Headings (organizational comprehension)

D. Key Performance Indicators Dashboard

Product health: - DAU/MAU ratio (target: > 30%) - D1/D7/D30 retention (targets: 60% / 35% / 20%) - Average sessions per active user per week (target: 4) - AI generation success rate (target: > 98%)

Revenue health: - Free-to-paid conversion rate (target: 5%) - Monthly churn (target: < 4%) - Net Revenue Retention (target: > 105%) - LTV:CAC (target: > 8×)

Learning outcomes (differentiator): - Average WPM improvement over 30 days - % users who increase CEFR level within 90 days - Teacher-reported engagement scores from pilot schools

Document prepared May 2026. Financial projections are forward-looking estimates based on comparable EdTech SaaS benchmarks. Actual results may differ.

For questions: [contact via GitHub repository]